EXECUTIVE SUMMARY

I. Introduction

Tuao is a 1st class municipality situated in the western part of Cagayan Valley, called the Itawes Region and composed of 32 barangays. The Municipality, which is under the third Congressional District of Cagayan, has a population of 66,147 according to the 2024 Philippine Statistics Authority census. The recorded history of Tuao began in 1604 when founded by the Spanish Civil Government.

The Commission on Audit has adopted a risk-based audit approach that aligns the audit process more closely with the government's needs to improve the governance structure of agencies, particularly in the area of financial reporting; provides the users of the financial statements a higher level of assurance that agency's processes are designed and operating effectively; enables auditors to check compliance of agency with laws, rules and regulations and determine whether related compliance risks are properly addressed; strengthens accountability in the agencies; and recommends value-added deliverables and measures to improve the efficiency and effectiveness of government operations noted in the course of the financial audit.

II. Scope and Objective of the Audit

The audit covered the accounts and operations of the Municipality of Tuao, Cagayan for CY 2025 and was aimed at determining whether management presented fairly the financial statements of the Municipality in adherence to the generally accepted accounting principles; whether prevailing laws, rules and regulations have been complied with; and funds were utilized in the most efficient, effective and economical manner. Financial, compliance and performance audits were conducted to achieve these audit objectives.

III. Financial Highlights

The highlights of the financial position, financial performance, appropriations, allotments and obligations of the Municipality for the year ended December 31, 2025, with comparative figures for CY 2024, are as follows:

Accounts	2025	2024	Increase (Decrease)
Financial Position			
Total Assets	₱ 914,283,147.94	₱ 863,008,925.75	₱ 51,274,222.19
Total Liabilities	₱ 91,715,712.07	₱ 120,464,005.80	₱ (28,748,293.73)
Total Government Equity	₱ 822,567,435.87	₱ 742,544,919.95	₱ 80,022,515.92
Financial Performance			
Total Revenue	₱ 405,366,050.15	₱ 300,894,802.59	₱ 104,471,247.56
Total Expenses	₱ 321,618,630.23	₱ 277,751,737.57	₱ 43,866,892.66

Surplus(Deficit)	₱ 83,747,419.92	₱ 23,143,065.02	₱ 60,604,354.90
Appropriations, Allotments and Obligations			
Total Appropriations – Current	₱ 440,077,402.26	₱ 308,573,005.52	₱ 131,504,396.74
Total Obligations – Current	₱ 329,992,809.07	₱ 241,503,445.19	₱ 88,489,363.88
Total Appropriations – Continuing	₱ 139,891,173.73	₱ 154,223,493.24	₱ (14,332,319.51)
Total Obligations - Continuing	₱ 49,171,758.09	₱ 56,289,384.57	₱ (7,117,626.48)

The table below presents the fund transfers received by the Municipality from other Agencies totaling P93,710,201.42, with comparative figures for CY 2024. There were no funds transferred to other agencies during the year.

	2025	2024	Increase (Decrease)
Funds Received from:			
National Government Agencies (NGAs)	₱ 93,185,201.42	₱ 64,124,811.06	₱ 29,060,390.36
Local Government Units	₱ 525,000.00	₱ 972,980.00	₱ (447,980.00)
Total	**₱ 93,710,201.42**	**₱ 65,097,791.06**	₱ 28,612,410.36

IV. Operational Highlights

The LGU Tuao is headed by the Municipal Mayor, Honorable William N. Mamba, and Vice-Mayor, Honorable Francisco N. Mamba Jr. For CY 2025, the Municipality had a total of 609 personnel complement, consisting of 65 permanent, 12 elective, 10 co-terminus, 47 casual, 5 contracts of service and 470 job order status.

In addition, the LGU Tuao had accomplished significant and developmental projects in Calendar Year 2025, to wit:

Name of Projects	Amount
Provision of Sanitary Landfill Accessories	₱ 4,707,707.27
Expansion/Installation of Water Pipes Distribution Line along Poblacion	1,999,286.90
Construction of Tuao Super Health Center	9,998,865.58
Rehabilitation of School Buildings (Elementary & High School)	2,294,018.17
Construction of PNP Tuao Building	9,995,351.55
Construction of Three Phase Line from Villalaida to Mambacag via Dagupan	8,259,416.31
Groundfill for the Proposed New Government Center	7,996,844.82
Installation of Solar Streetlights	1,211,706.29
Construction/Development of Cemetery	9,994,935.86
Concreting of Roads of Public Cemetery	7,998,131.29
Installation/Procurement of Solar Streetlights	8,495,567.92
Construction of Drainage Canal/ Box Culvert w/in the Municipality	3,994,148.42

V. Independent Auditor's Report on the Financial Statements

The Auditor rendered a Qualified Opinion on the fairness of presentation of the financial statements of the Municipality of Tuao for the year-ended December 31, 2025 due to various accounts which are materially misstated by an aggregate amount of ₱79,630,760.54 on account errors, omission and improper accounting treatment of transactions that are considered as departures from the IPSAS.

Our audit of the financial statements of the Municipality disclosed misstatements totaling to ₱79,630,760.54, in absolute value, which is material to modify the auditor's opinion based on the overall planning materiality threshold, summarized as follows:

Accounts	Asset	Liability	Prior Period Adjustment/ Revenue/ Expense	Total
Cash in Bank - Local Currency, Current Account	₱ 438,836.83	₱ -	₱ -	₱ 438,836.83
Guaranty/Security Deposits Payable	-	7,709,232.12	-	7,709,232.12
Other Maintenance and Operating Expenses	-	-	49,897,212.10	49,897,212.10
Construction in Progress-Infrastructure Asset	21,585,479.49	-	-	21,585,479.49
Total	**₱ 22,024,316.32**	**₱ 7,709,232.12**	**₱ 49,897,212.10**	**₱ 79,630,760.54**

As a result, the following accounts in the financial statements of the Municipality of Tuao were misstated as follows:

Accounts	Understatement	Overstatement	Observation No.
Cash in Bank -Local Currency, Current Account	₱ 438,836.83	₱ -	1
Guaranty/Security Deposits Payable	7,709,232.12	-	2
Other Maintenance and Operating Expenses	-	49,897,212.10	3
Training Expenses	74,000.00	-	3
Traveling Expenses – Local	750,909.76	-	3
Representation Expenses	9,720,819.58	-	3
Fuel, Oil and Lubricants Expenses	38,805.00	-	3
Office Supplies Expenses	336,163.29	-	3

Accounts	Understatement	Overstatement	Observation No.
Other Supplies and Materials Expenses	10,673,906.59	-	3
Medical, Dental and Laboratory Supplies Expenses	12,364.00	-	3
Food Supplies Expenses	167,036.00	-	3
Agricultural Supplies Expenses	182,961.69	-	3
Welfare Goods Expenses	3,583,186.00	-	3
Telephone Expenses	10,994.00	-	3
Internet Subscription Expenses	16,348.00	-	3
Prizes	1,399,575.00	-	3
Rent/Lease Expenses	5,654,712.50	-	3
Repairs and Maintenance – Machinery/Equipment	210,398.90	-	3
Repairs and Maintenance – Transportation Equipment	223,851.96	-	3
Transportation and Delivery Expenses	64,000.00	-	3
Professional Services	3,651,635.25	-	3
Printing and Publication Expenses	474,480.00	-	3
Subsidy-Others	3,100,000.00	-	3
Donations	9,551,064.58	-	3
Construction in Progress-Infrastructure Asset	-	21,585,479.49	4
Total	**₱ 58,045,281.05**	**₱ 71,482,691.59**	

VI. Summary of Significant Observations and Recommendations

The significant audit observations and recommendations for CY 2025 other than the bases for the modified opinion that need immediate attention and action by the Municipality are as follows:

1. **The Municipality utilized ₱63.935 million, representing 47.32 percent of the total available 20% Development Fund appropriations of ₱135.119 million in CY 2025, which resulted in the full implementation of 12 programs, projects, and activities (PPAs) amounting to ₱20.218 million and the partial implementation of 21 PPAs amounting to ₱43.716 million.**

   However, 31 PPAs, with aggregate appropriations of ₱43.702 million, remained unimplemented, which is inconsistent with the principle of optimal and timely use of development funds.

We recommended that the Management, through the Municipal Engineering Office and other concerned offices:

A. Closely monitor and prioritize the implementation of the ongoing and unimplemented PPAs;

B. Maintain and regularly update accurate implementation status reports to ensure that project timelines proceed as scheduled; and

C. Ensure that PPAs included in the approved Annual Investment Program are procurement and implementation-ready, consistent with the requirements of DBM–DOF–DILG JMC No. 1 dated November 4, 2020, to improve fund utilization and facilitate timely delivery of project outputs.

2. **The Municipality utilized ₱29.224 million or 44.01 percent of its total available appropriations under the 5% Local Disaster Risk Reduction and Management Fund (LDRRMF) amounting to ₱66.401 million, thereby contributing to the attainment of its objectives of mitigating disaster risks and enhancing disaster preparedness and response capacities.**

   However, a substantial portion of the fund amounting to ₱37.177 million or 55.99 percent of the available fund remained unutilized as of year-end, which reflects suboptimal utilization of resources and does not fully align with the declared policy of the State to strengthen the capacity of the LGUs, to build a disaster resilient community, as provided in Section 21 of Republic Act No. 10121.

   We recommended that the Management:

   A. Strengthen planning, monitoring, and coordination mechanisms among the Local Disaster Risk Reduction and Management Office (LDRRMO) and other implementing offices, to ensure the timely implementation of approved PPAs;

   B. Expedite the procurement and implementation processes of the remaining unimplemented PPAs, to maximize the utilization of available funds and achieve the intended disaster risk reduction objectives; and

   C. Ensure that the PPAs funded under the 5% LDRRMF are judiciously planned and procurement and implementation-ready, to avoid delays in project execution and thereby improve fund utilization.

3. **The Municipality was not able to submit to the Audit Team the copies of contracts and the corresponding supporting documents for 11 infrastructure contracts awarded and implemented in CY 2025 totaling ₱108.117 million.**

We recommended that the Management immediately submit the copies of contracts and the corresponding supporting documents for the 11 infrastructure projects and thereafter ensure the timely submission of all copies of contracts, purchase orders and supporting documents for perfected contracts, in strict compliance with Items 3.1.1 and 3.2.1 of COA Circular No. 2009-001.

4. **Disbursements totaling ₱0.809 million were made on reimbursement basis, instead of direct payment to suppliers/creditors, resulting in the non-withholding of the applicable taxes due thereon and may have prevented the government from securing the most advantageous price.**

We recommended that the Management:

A. Avoid the practice of disbursing through reimbursement and ensure that all payments are made directly to the suppliers or service providers, to facilitate the proper withholding and remittance of applicable taxes; and

B. Strictly adhere to the appropriate modes of procurement and consistently comply with the procedures prescribed under the Procurement Law and its IRR, to uphold the principles of transparency and accountability, while ensuring that the Agency obtains the most advantageous price and terms in all its procurement undertakings.

VII. Summary of Total Suspensions, Disallowances and Charges

As of December 31, 2025, there were no Notices of Suspension, Disallowance or Charge issued to the Municipality.

VIII. Status of Implementation of Prior Year's Audit Recommendations

The status of implementation of prior year's audit recommendations embodied in CY 2024 Annual Audit Report are summarized as follows:

Status of Implementation	Number
Fully Implemented	8
Not Implemented	3
Not Implemented and Reiterated in Part II of CY 2025 AAR	7
Total	**18**